CLOSING STATEMENT

Cypress Commons | Las Vegas, NV

Property	Cypress Commons
Settlement Date	January 5, 2023
Buyer	Tidewater Core Fund
Seller	Tallgrass Equity Group
Sale Price	$85,700,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$85,700,000			
Earnest money deposit		$28,289	$28,289	
Real estate tax proration	$839,754			$839,754
Rent proration			$144,779	
Security deposits assumed	$456,768	$456,768		
Prepaid rents			$396,730	$396,730
Owner's title policy premium	$334,807			
Lender's title policy premium		$596,169	$596,169	
Escrow fee	$33,683			$33,683
Recording fees			$796,985	
Transfer tax	$665,171	$665,171		
Survey			$592,583	$592,583
Legal fees - Buyer	$55,654			
Legal fees - Seller		$815,861	$815,861	
Broker commission	$588,765			$588,765
Loan origination fee			$46,235	
Lender legal	$724,515	$724,515		
Appraisal fee			$24,627	$24,627
Environmental report	$587,024			
Property condition report		$291,246	$291,246	
Tax escrow deposit	$607,138			$607,138
Insurance escrow deposit			$375,070	
Replacement reserve deposit	$843,091	$843,091		
Utility deposits			$778,166	$778,166

Report generated 01/05/2023. Figures are unaudited and subject to change.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$85,700,000			
Legal fees - Seller		$388,680	$388,680	
Broker commission	$285,188			$285,188
Loan origination fee			$788,832	
Lender legal	$733,112	$733,112		
Appraisal fee			$282,160	$282,160
Environmental report	$620,272			
Property condition report		$270,585	$270,585	
Tax escrow deposit	$275,015			$275,015
Insurance escrow deposit			$308,894	
Replacement reserve deposit	$381,388	$381,388		
Utility deposits			$249,350	$249,350
Assumed vendor contracts credit	$456,287			
Tenant improvement credit		$266,935	$266,935	
Courier / wire fees	$261,965			$261,965
Municipal certificates			$190,443	
Purchase price	$40,895	$40,895		
Earnest money deposit			$493,757	$493,757
Real estate tax proration	$85,313			
Rent proration		$204,538	$204,538	
Security deposits assumed	$827,701			$827,701
Prepaid rents			$326,005	
Owner's title policy premium	$695,162	$695,162		
Lender's title policy premium			$252,264	$252,264
Escrow fee	$604,283			
Recording fees		$163,178	$163,178	
Transfer tax	$223,589			$223,589
Survey			$375,121	

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Operating Performance

Effective gross income for the trailing period was $446,000, representing a 2.6% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,279 per month against an average unit size of 973 square feet.

Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. Debt service coverage ratio was 6.67x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $335,000, representing a 2.9% increase over the prior year. The going-in capitalization rate of 5.06% reflects the in-place income and the stabilized occupancy assumption.

Financial Analysis

Operating expenses totaled $338,000 or approximately 41.66 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,279 per month against an average unit size of 973 square feet. Effective gross income for the trailing period was $229,000, representing a 8.2% increase over the prior year. Debt service coverage ratio was 7.71x on a trailing basis against a covenant minimum of 1.20x.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average in-place rent is $1,279 per month against an average unit size of 973 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $87,000, representing a 8.6% increase over the prior year.

Operating Performance

Effective gross income for the trailing period was $480,000, representing a 5.7% increase over the prior year. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.33% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $177,000 or approximately 14.41 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 2.8% annually with renewal retention above 94.6%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. The going-in capitalization rate of 5.03% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,279 per month against an average unit size of 973 square feet.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Cypress Commons Owner LLC

By: Sofia Kowalski Title: Manager Date: 01/05/2023

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Hannah Underwood

By: Megan Ramirez Title: Authorized Signatory Date: 01/05/2023

Exhibit A - Property

Cypress Commons, 6461 Railroad Boulevard, Las Vegas, NV 23840. Parcel containing approximately 14.79 acres, together with all improvements thereon.

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